

PALM HILLS DEVELOPMENTS

Egyptian Exchange · PHDC · Egyptian pounds · edition of 30 August 2026

READ FIRST

This is a valuation study, not advice. It carries no rating, no recommendation and no price target. What it publishes is a range of value and the reasoning behind it, so that a reader can disagree with the reasoning rather than with a number.

It supersedes the edition of 11 June 2026. Two things in that edition were wrong and are corrected here, and both are set out plainly in section 1.8 rather than buried: the discount rate was below Egypt's own government bond yield, and the project-level price and cost table it valued the company on is not disclosed by the company anywhere.

The company's own audited statements are the only source used for its reported history. Where something needed is not disclosed, this study says so and does not fill the hole. There are five such gaps and they are listed in section 7.

Information set: everything the company had published as at 30 August 2026, which ends at its first-quarter 2026 results. No half-year 2026 figures had been released at that date.

Headline

Palm Hills is worth EGP 10.94 a share on a base case built from the company's own units and prices, in a range of EGP 4.60 to EGP 23.33. The shares trade at EGP 15.20.

- The forecast is built from units and prices the company itself discloses: 5,633 units sold across three regions at EGP 15.70 to 25.09 million a unit, and separately 1,886 units delivered at EGP 21.29 million of revenue each, because units handed over were contracted years earlier at lower prices.
- The discount rate in the previous edition was 18.00%. Egypt's ten-year government bond yields 23.00%. Rebuilt from the ground up, the company's cost of capital is 26.25%.
- Value turns on how quickly contracted sales become cash. Over the three years the company has published a cash-flow statement, operating cash was 4.3%, 17.9% and 3.9% of revenue. At the low end the shares are worth EGP 4.29; at the high end, EGP 35.14.
- At the closing price of EGP 15.20 the market is paying for a conversion rate of 8.9% — above the two weak years, well below the strong one.
- The contracted order book stands at EGP 263bn against 2025 revenue of EGP 36.2bn. What limits this company is how fast it can build and hand over, not whether it can sell.

Valuation summary — every read at a glance

Lens	Bear	Base	Full value	Weight
Discounted cash flow	2.85	14.86	38.75	45%
Book value of equity	5.91	6.56	8.53	15%
Earnings multiple on own history	7.45	11.17	17.37	20%
Normalised earnings power	4.72	5.17	5.72	20%

Lens	Bear	Base	Full value	Weight
Weighted central	4.60	10.94	23.33	100%
Market price, 23 Aug 2026		15.20		
vs the weighted central	+230%	+39%	-35%	

EGP per share. Weights are stated in advance and are the same across the three columns. The discounted cash flow carries the most weight because it is the only lens built from the company's own units and prices; book value carries the least because it is a floor, not a value.

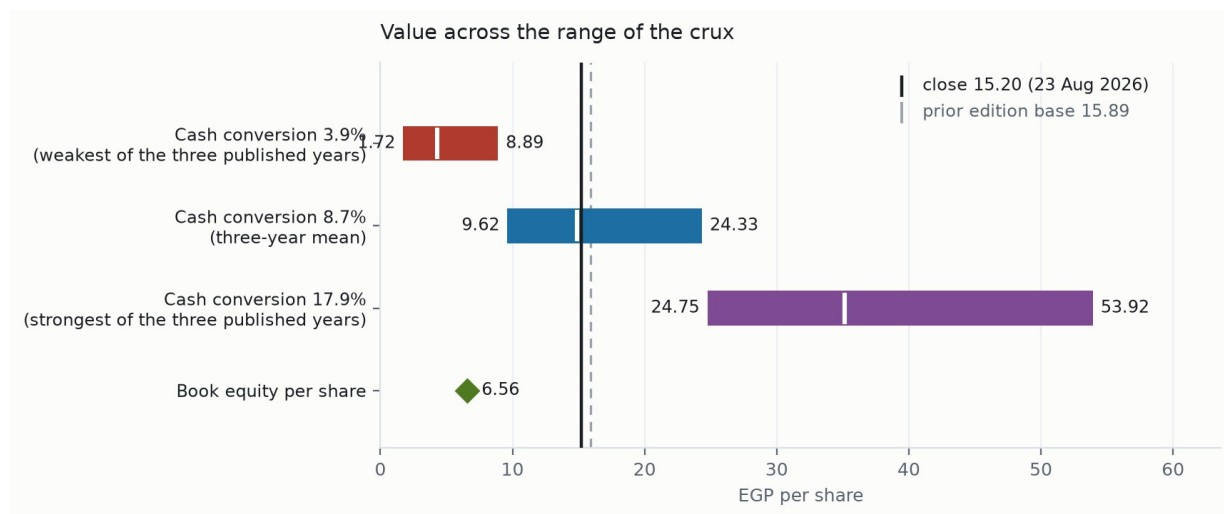


Figure 1 — each bar is one observed rate of cash conversion; the bar spans the discount rate from four points below the rebuilt cost of capital to four points above, and the white tick marks the value at the rebuilt rate itself. Shown against the closing price and the previous edition's central figure.

Company overview

Palm Hills Developments builds and sells residential and commercial property in Egypt, principally in West Cairo, East Cairo, and the North Coast and Alexandria. It has been listed on the Egyptian Exchange since 2008. Units are sold off plan and paid for in instalments over several years, so the company collects cash long before, and long after, it recognises the sale.

Two things follow from that model and they shape everything in this study. First, revenue is recognised as construction completes rather than when a contract is signed, so the order book and the income statement move on different clocks. Second, the balance sheet carries a very large receivable book — EGP 103.5bn at the end of 2025 — against customer advances of EGP 69.4bn.

	2025	2024
Revenue (EGP mn)	36,169	27,167
Gross profit (EGP mn)	14,888	9,330
Gross margin	41.2%	34.3%
Profit after tax and minority (EGP mn)	4,217	3,255
Cash from operations (EGP mn)	1,424	4,855
Order book (EGP mn)	263,000 (at 31 Mar 2026)	147,000

	2025	2024
Total assets (EGP mn)	172,130	123,437
Shareholders' funds (EGP mn)	18,766	14,625

Source: the company's audited consolidated financial statements and its own results releases.

1 Fundamental valuation

1.1 The cash-flow model

The model runs five years from the audited 2025 base and then a terminal value. Revenue is limited by how much the company can build and hand over, not by how much it has sold: the order book is EGP 263bn against 2025 revenue of EGP 36.2bn, so sales are not the binding constraint and have not been for some years. Revenue is therefore units handed over times the revenue each one carries — 1,886 units in 2026, growing 15 per cent a year on the company's own disclosed run of handovers, at EGP 21.29 million a unit escalating with inflation. Nothing here is a ratio applied to last year's revenue.

Cost is recognised on the same completion schedule as revenue. That sounds obvious and it is the single most important correction in this edition. Since January 2016 the company has recognised revenue on standalone units as construction progresses; a model that accrues revenue that way but accrues cost on handover has the two legs on different clocks, and it systematically overstates profit. Gross margin here is an output of price against cost, never an input.

EGP mn unless stated	2026	2027	2028	2029	2030
Units sold	5,633	5,633	5,633	5,633	5,633
New sales (EGP mn)	139,999	175,279	219,450	274,751	343,988
Units delivered	1,886	2,168	2,494	2,868	3,298
Revenue per delivered unit (EGP mn)	21.29	26.66	33.38	41.79	52.32
Revenue	40,148	57,805	83,228	119,831	172,533
Cost per delivered unit (EGP mn)	13.13	16.44	20.59	25.77	32.27
Cost of revenue	24,762	35,653	51,333	73,909	106,414
Gross profit	15,386	22,152	31,895	45,922	66,119
Gross margin (output)	38.3%	38.3%	38.3%	38.3%	38.3%
Overheads	7,066	10,173	14,648	21,090	30,365
Operating profit	7,927	11,414	16,433	23,661	34,067
Finance cost	3,348	3,348	3,348	3,348	3,348
Profit before tax	4,580	8,066	13,086	20,313	30,719
Tax rate	22.5%	22.5%	22.5%	22.5%	22.5%
Net profit	3,549	6,251	10,141	15,743	23,807
Earnings per share (EGP)	1.24	2.19	3.55	5.50	8.32

EGP mn unless stated	2026	2027	2028	2029	2030
Order book, closing	362,852	480,326	616,548	771,468	942,924

Every line follows from the two engines above. Gross margin is what price per unit and cost per unit leave behind, not an assumption.

Three anchors hold this table to what was actually reported. FY2026 is part-reported: the company disclosed first-quarter revenue of EGP 9,300 million, up 11 per cent on the same quarter of 2025, which places that quarter at 23.2 per cent of the full year and gives an FY2026 revenue anchor of EGP 40,148 million from the actual rather than from a trend. The finance charge is the disclosed rate on the interest-bearing borrowings, 13.91 per cent, not the 25.50 per cent marginal rate used for discounting — a large part of the balance does not bear interest and part of the charge is capitalised into work in progress. And the gross margin is held at 38.3 per cent, the average of the last two disclosures.

One drift was measured and deliberately not carried. The move from a 41.2 per cent gross margin in 2025 to 35.5 per cent in the first quarter of 2026 implies cost rising about 9.6 per cent a year faster than price. Compounded over five years that takes gross margin to 7.5 per cent and the company to a loss by 2030 — on the strength of one quarter against one year, for a developer whose margin moves with which project happens to hand over. It is sensitised in section 1.9 instead of extrapolated.

Revenue, years three to five (EGP mn)	Low	Point	High
2028	37,567	83,228	157,708
2029	57,855	119,831	254,120
2030	112,623	172,533	288,343

The band is this method's OWN measured error at each horizon, taken from testing it across ten annual starting points on the company's 2011-2025 history. It is not a scenario; it is the spread the method has actually produced.

The cash-flow calculation in full

Operating profit is not cash, and for a developer selling on instalments the gap between the two is the whole question. The table below runs every step from operating profit to a present value, year by year, with nothing collapsed.

EGP million	2026	2027	2028	2029	2030
Operating profit	7,927	11,414	16,433	23,661	34,067
Cash from operations	3,498	5,037	7,252	10,442	15,034
as a share of revenue	8.7%	8.7%	8.7%	8.7%	8.7%
plus finance cost, after tax	2,594	2,594	2,594	2,594	2,594
less capital expenditure	401	578	832	1,198	1,725
Free cash flow to the firm	5,691	7,053	9,014	11,838	15,903
Discount factor at 26.25%	0.792	0.627	0.497	0.394	0.312
Present value	4,508	4,425	4,480	4,660	4,958

The finance charge is added back after tax because the discount rate already carries the cost of debt; leaving it in the cash flow would charge for the same thing twice. Capital expenditure is maintenance only, at one per cent of revenue: for this company the building itself is inventory, and it is already inside operating cash.

Bridge from enterprise value to equity, base case	EGP mn
Present value of the explicit five years	23,030.2
Present value beyond year five	38,969.3
Enterprise value	61,999.5
less net debt	-24,133.2
plus investments in associates	3,611.6
plus investment property	1,032.5
Equity value	42,510.4
Shares outstanding, millions	2,859.9
Value per share, EGP	14.9

The terminal value is 63 per cent of enterprise value, which is high and is one reason the range is published rather than a point.

What the two statements disagree about, and why it is not resolved here

The audited balance sheet and the audited cash-flow statement tell different stories about the same year, and the difference is the largest single uncertainty in this valuation. Working capital on the balance sheet rose EGP 20,085 million in 2025. Net profit plus depreciation less the operating cash the company reported implies it rose EGP 3,146 million. The difference is EGP 16,938 million — 46.8 per cent of the year's revenue.

A difference that size is not depreciation and it is not capitalised interest. It is consolidation, land taken on deferred terms, and reclassification inside a book where revenue is recognised as construction progresses. The 2025 cash-flow statement is published in its three totals only, so the difference cannot be split from what the company has disclosed. It is therefore not split. It is measured, recorded in the register of what is missing, and the forecast is published two ways around it rather than one — set out in full in Appendix A.3.

The collection cycle, as reported	2025	2024
Collection period, days	1045	1035
Work in progress, days of cost	304	270
Suppliers, days of cost	66	70
Customer advances, share of the order book	26.4%	32.2%
Net working capital (EGP mn)	62,324	42,239
as a multiple of revenue	1.72	1.55

Both years measured the same way on the two audited sheets. The collection period is close to three years because units are sold on multi-year instalments; customer advances against the order book are what funds the building in the meantime.

1.2 Book value and sustainable return

Shareholders' funds were EGP 18,766 million at the end of 2025, or EGP 6.56 a share, against a market price of EGP 15.20 — the shares change hands at about 2.3 times book. Profit after tax and minority interest of EGP 4,217 million on average shareholders' funds gives a return on equity of roughly 25.3%. Against a cost of equity of 31.3%, the company is not currently

earning its cost of capital on book, which is why book value sits well below every cash-flow read in this study rather than acting as a floor.

1.3 Relative multiples

The Egyptian listed developers are compared in Appendix B on the measures that can actually be sourced for all of them on the same basis. Earnings and book multiples for the peer group are NOT published here: no peer discloses figures this study can obtain on a consistent basis, and a multiple assembled from inconsistent or unsourced inputs would look precise and mean nothing. What is comparable is market risk, and on that measure Palm Hills sits in the middle of its sector.

1.4 Normalised earnings power

Normalising on the three disclosed years, revenue converts to gross profit at about 38.3%, overheads absorb about 17.6% of revenue, and interest on the disclosed borrowings absorbs a further large share. The result is a company whose accounting profit is real but whose cash profit is small and volatile: EGP 1,424 million of operating cash in 2025 on EGP 36,169 million of revenue, against EGP 4,855 million on EGP 27,167 million the year before.

1.5 Synthesis — the lenses in one field

The four lenses disagree, and the disagreement is the information. The discounted cash flow is the widest because it carries the crux; book value is the narrowest because it is arithmetic on a reported balance sheet. Normalised earnings power is the most severe: at a 31.3% cost of equity, a company earning a 11.7% net margin does not capitalise to much.

Lens	Bear	Base	Full value	Weight	What moves it
Discounted cash flow	2.85	14.86	38.75	45%	cash conversion, then the discount rate
Book value of equity	5.91	6.56	8.53	15%	nothing — it is a reported figure
Earnings multiple on own history	7.45	11.17	17.37	20%	the multiple the shares have historically carried, 6x to 14x
Normalised earnings power	4.72	5.17	5.72	20%	the cost of equity
Weighted central	4.60	10.94	23.33	100%	

EGP per share, against a close of EGP 15.20. The weights are stated before the numbers are read and are identical across the three columns.

1.6 Drivers — units and prices, by region

This is what the forecast is built from. For each operating region the company publishes both the value of new sales and the number of units behind it, so the average selling price per unit is a realised figure, not an assumption. Dividing one disclosure by the other is the only step taken.

North Coast & Alexandria

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	4,205	7,139	5,627	13,900	95,082
Units sold	726	1,552	800	1,231	4,192
Price per unit (EGP mn)	5.79	4.60	7.03	11.29	22.68

Carried forward at 2,074 units, the average of the last three disclosed years, at a starting price of EGP 22.68 million a unit, the price realised in 2024, escalated with Egyptian inflation.

West Cairo & Badya

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	6,627	7,258	13,118	32,332	44,570
Units sold	858	1,416	2,039	2,950	2,839
Price per unit (EGP mn)	7.72	5.13	6.43	10.96	15.70

Carried forward at 2,609 units, the average of the last three disclosed years, at a starting price of EGP 15.70 million a unit, the price realised in 2024, escalated with Egyptian inflation.

East Cairo

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	1,947	2,892	7,265	13,270	11,364
Units sold	256	382	1,194	1,200	453
Price per unit (EGP mn)	7.61	7.57	6.08	11.06	25.09

Carried forward at 949 units, the average of the last three disclosed years, at a starting price of EGP 25.09 million a unit, the price realised in 2024, escalated with Egyptian inflation.

The three regions reconcile to the group total the same release prints: for 2024, 44,570 plus 95,082 plus 11,364 is 151,016, which is the all-regions figure exactly. That reconciliation is checked in code, so a mis-read series fails loudly rather than quietly becoming a price.

Revenue is driven by a different quantity from new sales, and the distinction matters. A unit handed over in 2026 was contracted years earlier at that year's price, so revenue per delivered unit sits below the current selling price — EGP 21.29 million against regional prices of EGP 15.70 to 25.09 million. That gap is why the order book keeps building even as deliveries rise, and it is the single clearest fact about how this business converts sales into reported revenue.

What is NOT disclosed, and therefore not used: unit mix, average unit size, price per square metre and construction cost per square metre, for any project. The previous edition carried a full table of those figures across fifteen named projects. None of it is published by the company. It is not reused here, and the forecast is built at the finest level the disclosure actually supports.

1.7 The crux

How fast do contracted sales become cash?

Everything else in this study is secondary to that question. Palm Hills sells off plan on long instalment terms, so a sale signed today produces cash over several years on a schedule the company does not publish — no down-payment percentage, no instalment tenor, no post-handover tail. The previous edition assumed all three. This edition measures the outcome instead, from the three years in which the company has published a cash-flow statement.

Year	Cash from operations (EGP mn)	Revenue (EGP mn)	Cash as a share of revenue
2023	757	17,462	4.3%
2024	4,855	27,167	17.9%
2025	1,424	36,169	3.9%

The 2024 figure is the one in the audited statements. The company's own results release for that year reported EGP 3,132 million and the figure was later restated; the audited number is used.

A spread of 3.9% to 17.9% over three consecutive years is not noise around a stable rate — it is the absence of a stable rate. Until the company discloses its collection terms, or until more years accumulate, this is the honest width of the answer.

1.8 Macro, country risk and the cost of capital

The previous edition discounted at 18%. Egypt's ten-year government bond yields 23.00%. A discount rate below the sovereign yield prices this company as safer than the government that taxes it, which cannot be right, and it is not a real-versus-nominal mismatch: that edition escalated selling prices at 14 per cent a year, so its cash flows were in nominal pounds throughout.

Cost of capital	On the credit-rating basis	On the credit-default-swap basis
Egyptian ten-year government bond yield	23.00%	23.00%
less Egypt's own sovereign default spread	6.37%	3.41%
Normalised risk-free rate	16.63%	19.59%
Equity risk premium for Egypt	13.94%	9.41%
Beta	1.0493	1.0493
Cost of equity	31.26%	29.46%
Cost of debt before tax	25.50%	25.50%
Cost of debt after tax at 22.5%	19.76%	19.76%
Equity weight at market value	56.4%	56.4%
Debt weight	43.6%	43.6%
Weighted average cost of capital	26.25%	25.24%

Country risk is counted once, inside the equity risk premium, and the government bond yield is reduced by Egypt's own default spread on the matching basis before that premium is added. Both bases are published because both are defensible and they differ by about a point.

The beta is measured on Palm Hills' own weekly price history against the EGX30 index over 4.85 years: 1.0493, with a standard error of 0.1823, an R-squared of 29.9% and 251 weekly observations. A cross-check adjustment toward the market gives 1.0329. Appendix B shows the same measurement for every listed Egyptian developer.

The cost of debt is the one cost-of-capital input in this study that is not sourced, and it is flagged. The right anchor exists: the company closed an EGP 2,015 million securitisation on 4 February 2026, the first draw on a newly approved EGP 30 billion programme, in four tranches of 13, 36, 60 and 84 months rated AA+, AA, A+ and A- on the Egyptian national scale. No coupon is published for any tranche. The cost of debt is therefore built as the sovereign yield plus a 250 basis point corporate spread, which puts it above the sovereign as it must be. The accounting rate is deliberately not used: EGP 3,348 million of finance cost on average gross borrowings of about EGP 26,700 million implies 12.5 per cent, far below the sovereign, because much of the balance does not bear interest and part of the charge is capitalised into work in progress.

1.9 Sensitivity

The table below prices the crux against the discount rate. Read it down a column rather than across a row: moving the discount rate by the whole 800 basis points of the previous edition's error changes value by less than moving cash conversion from one observed year to another.

Cash conversion	22.25%	24.25%	26.25%	28.25%	30.25%
3.9%	8.89	6.21	4.29	2.85	1.72
6.0%	15.56	11.65	8.86	6.76	5.13
8.7%	24.33	18.81	14.86	11.91	9.62
12.0%	34.95	27.48	22.14	18.14	15.05
17.9%	53.92	42.96	35.14	29.28	24.75

Value per share in Egyptian pounds. The closing price on 23 August 2026 was EGP 15.20.

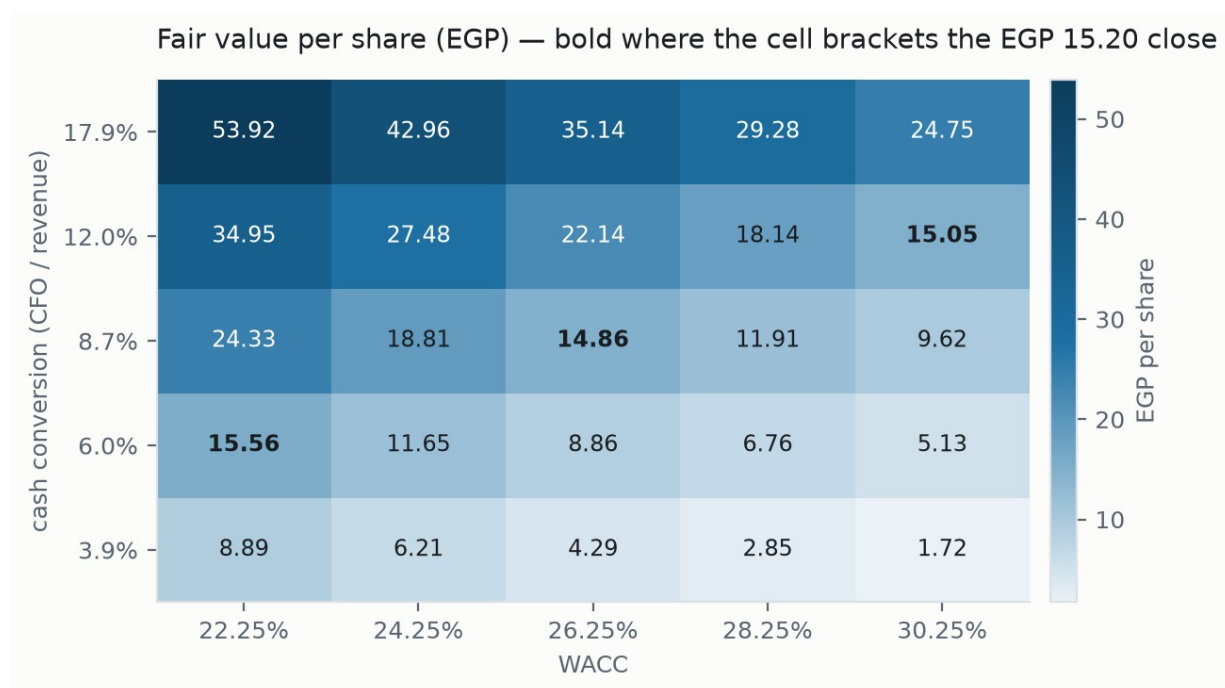


Figure 2 — the same grid. Darker cells are higher values; the two axes are the discount rate and the rate at which contracted sales turn into cash.

Solving the model back to the closing price gives a cash-conversion rate of 8.9%. That is the clearest single statement this study can make about the current price: the market is paying for conversion better than 2023 and 2025 delivered, and materially worse than 2024 did.

2 Technical and price structure

The shares closed at EGP 15.20 on 23 August 2026, above a rising 20-day average at 15.15, a rising 50-day at 15.10 and a rising 200-day at 10.95. The whole moving-average stack is beneath the price and sloping up, which is the least ambiguous configuration a trend read produces.

Resistance	EGP	Support	EGP
First	15.38	First	14.99
Second	15.73	Second	14.40
Third	16.08	Third	13.01

Levels are computed from the same cleaned price history the distribution in section 3 is built on; first resistance and first support are always the nearest to the close.

The levels sit close together — first resistance is 1.2 per cent above the close and first support 1.4 per cent below — so the near-term structure is tight and offers little information on its own. The 200-day average at 10.95 is far below the price, which is a consequence of how much the shares have risen, not a signal.

3 A probabilistic price map

This section is not a forecast and does not connect to the valuation above. It is a statement of how widely the price has historically moved over one and three months, expressed as a distribution.

Percentile	One month (EGP)	Three months (EGP)
5th	13.08	11.98
25th	14.67	14.61
50th	15.64	16.34
75th	16.68	18.27
95th	18.71	22.26

Resolving 2026-09-23 and 2026-11-23 respectively.

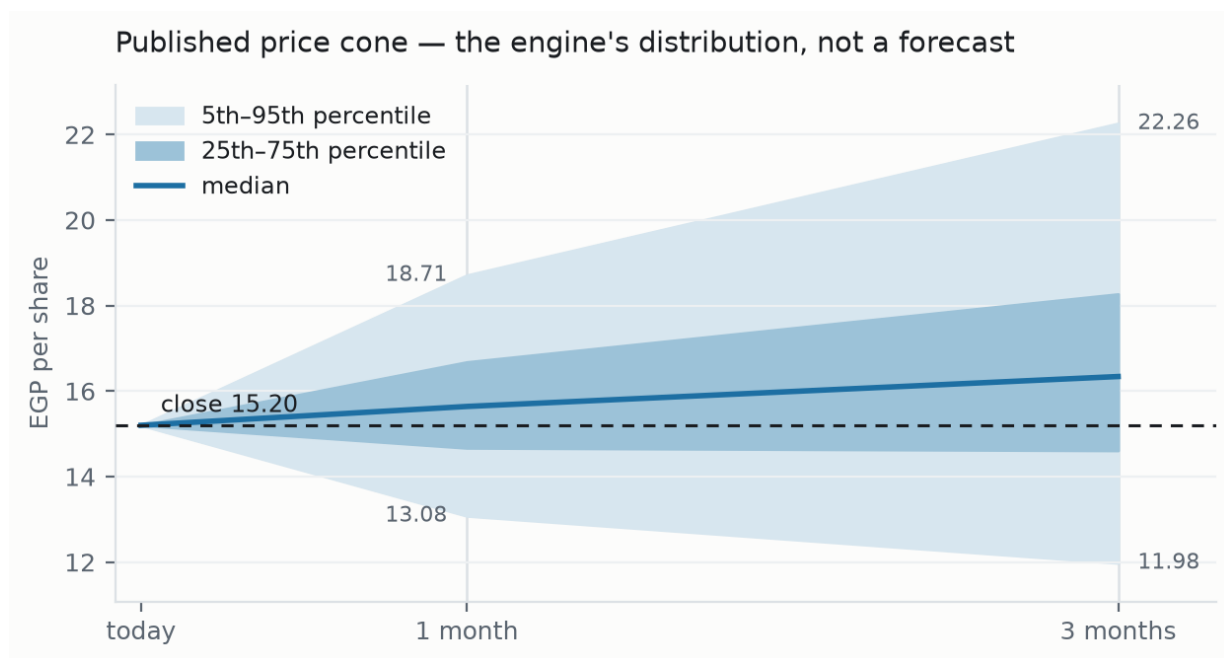


Figure 3 — the same distribution drawn as a cone. The shaded bands are the middle half and the 5th-to-95th range.

Over 57 resolved three-month forecasts on this company, the price finished inside the 90 per cent band 91.2% of the time, and inside the middle band 50.9% of the time. That is a long record by the standards of this series. The bands are about 1.47 times as wide as a simple random-walk band over the same horizon, which is what Egyptian devaluation risk costs in width.

Level (EGP)	Chance of touching within one month	Within three months
20.00	3%	19%
18.50	9%	35%
17.50	20%	51%
16.50	43%	71%
15.55	80%	90%

The chance that the price trades at or through each level at any point in the window, not the chance it ends there.

Price data to 2026-08-23, computed 2026-08-24; the trend read uses data to 2026-08-23, computed 2026-08-25.

4 Comparison of the lenses

The three readings are deliberately independent — none is an input to another — so where they agree, the agreement carries information.

Lens	What it says	Relative to the EGP 15.20 close
Fundamental value	EGP 4.29 to EGP 35.14 depending on cash conversion	the close sits inside the range, near its lower half

Lens	What it says	Relative to the EGP 15.20 close
Price distribution	three-month middle band EGP 14.61 to 18.27	the distribution is centred slightly above the close
Trend structure	above a rising 20-, 50- and 200-day average	constructive, with resistance only 1.2 per cent away

They point the same way without being made to. The fundamental range brackets the price, the distribution is mildly positive and the trend is intact. None of that resolves the crux in section 1.7.

5 Catalysts to watch

- The half-year 2026 results. None had been published as at 30 August 2026, which is itself notable this late in the year.
- The full-year 2025 results release. The audited statements were published but the accompanying release, which is where units sold, new sales, deliveries and construction spending are disclosed, was not.
- Any disclosure of collection terms — down payment, instalment tenor, post-handover tail. This is the single disclosure that would most narrow the range in this study.
- Progress on the EGP 30 billion securitisation programme. Selling receivables converts the instalment book to cash and is the direct lever on the crux; pricing on any tranche would also fix the cost of debt.
- The Village de La Capitale launch, which contributed EGP 24 billion of the EGP 52 billion of first-quarter 2026 sales. Whether that rate of launch sales repeats materially changes the order book path.
- Egyptian interest rates. The cost of capital here is built on a 23.00% sovereign yield; a sustained fall would raise every figure in section 1.9.

6 Reading the probability zones

The bands in section 3 describe where the price has tended to go, not where it should go. They are wide because Egyptian equities are genuinely volatile: the middle half of the three-month distribution spans EGP 14.61 to EGP 18.27, a range of about 24 per cent of the current price. A reader who wants a narrower band is asking for a less honest one.

The touch ladder answers a different question from the percentile map. A level with a 51 per cent chance of being touched inside three months is not a level with a 51 per cent chance of holding — prices pass through levels far more often than they settle at them.

7 Caveats and what would change our mind

Five things are not disclosed by the company and are therefore not in this study. Each is named with what would close it.

What is missing	Why it matters	What would close it
Collection schedule	Down payment, instalment tenor and post-handover tail are not published. This is the crux; it is measured from outcomes instead of built from terms.	Disclosure of contract terms.
Project unit economics	No per-project unit mix, unit area, price per square metre or construction cost per square metre is disclosed.	Project-level disclosure or an investor presentation carrying them.
Cost of debt	The February 2026 securitisation publishes sizes, tenors and ratings but no coupon.	A coupon on any tranche.
Full-year 2025 operating figures	The audited statements were published; the results release, which carries units and new sales, was not.	The 2025 results release.
Half-year 2026	Nothing newer than the first quarter of 2026 had been published as at this edition's date.	The half-year filing.

What would change our mind, in order of force:

- Two more years of cash conversion clustering. Three observations spanning 3.9% to 17.9% cannot distinguish a volatile business from a mismeasured one; five could.
- Disclosure of collection terms, which would replace the measured range with a built schedule and narrow the answer directly.
- A sustained fall in Egyptian interest rates, which lifts every cell in the sensitivity table.
- Evidence that the order book converts at the rate the company's delivery history implies rather than more slowly. The order book is now more than seven times revenue, against 5.4 times in 2024 and 3.4 times in 2023; that ratio has risen every year and cannot rise indefinitely.

A note on this study's own track record. Tested across ten annual starting points on this company's history from 2011 to 2025, this method forecast revenue tolerably but overstated net profit by about three times, consistently and in 97 per cent of tested cases, and did worse than simply assuming no change. The cause was the mismatched recognition clock corrected in section 1.1. That is why this edition publishes ranges rather than a central figure, and why the reader should treat the upper end of section 1.9 with more suspicion than the lower.

Appendix A Financial statements

A.1 Income statement

EGP million, as reported	2023	2024	2025
Revenue	17,462.1	27,167.3	36,169.3
Cost of revenue	-11,907.2	-17,739.9	-21,118.9
Cash discount	-47.2	-97.3	-162.8
Gross profit	5,507.6	9,330.1	14,887.6
Overheads	-2,060.5	-3,435.8	-6,365.6
Depreciation and amortisation	-178.6	-239.9	-353.7
Finance cost		-2,311.4	-3,347.5
Profit before tax	2,300.7	4,320.6	6,251.1
Tax	-567.3	-917.1	-1,827.2
Profit after tax	1,733.4	3,403.5	4,423.8
Minority interest	-151.9	-148.5	-207.2
Profit attributable to shareholders	1,581.5	3,254.9	4,216.7

Three years, each as that year's own audited statements reported it. Revenue less cost of revenue less the cash discount foots to reported gross profit in all three years, and profit before tax less tax less minority interest foots to the attributable figure.

One presentational difference is worth naming rather than smoothing. Cost of revenue for 2024 is EGP 17,739.9 million as the company reported it that year and EGP 17,837.2 million in the comparative column of the 2025 statements — a difference of EGP 97.3 million, exactly that year's cash discount, which the later presentation folds into cost. The forecast is built on the later basis throughout; the table above shows each year as first reported. Both figures are right on their own basis.

Forecast, EGP million	2026	2027	2028	2029	2030
Units delivered	1,886	2,168	2,494	2,868	3,298
Revenue per delivered unit	21.29	26.66	33.38	41.79	52.32
Revenue	40,148	57,805	83,228	119,831	172,533
Cost per delivered unit	13.13	16.44	20.59	25.77	32.27
Cost of revenue	-24,762	-35,653	-51,333	-73,909	-106,414
Gross profit	15,386	22,152	31,895	45,922	66,119
Gross margin	38.3%	38.3%	38.3%	38.3%	38.3%
Overheads	-7,066	-10,173	-14,648	-21,090	-30,365
Depreciation and amortisation	-393	-565	-814	-1,172	-1,687
Operating profit	7,927	11,414	16,433	23,661	34,067
Finance cost	-3,348	-3,348	-3,348	-3,348	-3,348

Forecast, EGP million	2026	2027	2028	2029	2030
Profit before tax	4,580	8,066	13,086	20,313	30,719
Tax	-1,030	-1,815	-2,944	-4,570	-6,912
Net profit	3,549	6,251	10,141	15,743	23,807
Earnings per share (EGP)	1.24	2.19	3.55	5.50	8.32

Five forecast years. Gross margin is what price per unit and cost per unit leave behind, never an input. Years three to five should be read against the range in section 1.9, not as points.

A.2 Balance sheet

EGP million, as reported	2025	2024
Non-current assets	65,900.2	54,166.4
of which notes receivable, long term	56,319.8	46,309.1
Current assets	106,229.6	69,270.9
of which work in progress	17,570.9	13,209.8
of which trade receivables	28,118.1	15,561.1
of which notes receivable, short term	19,073.0	15,148.4
of which cash	9,419.5	6,372.4
Total assets	172,129.8	123,437.3
Current liabilities	105,099.0	74,496.9
of which advances from customers	69,354.1	47,403.8
of which suppliers	3,807.0	3,426.7
Non-current liabilities	48,265.1	34,315.7
Total liabilities	153,364.1	108,812.6
Shareholders' funds	18,765.8	14,624.7
Total equity and liabilities	172,129.8	123,437.3

As reported. Total assets equal total liabilities plus shareholders' funds in both years, and each subtotal reconciles to its components.

A.3 Forecast balance sheet and cash flow

Because the balance sheet and the cash-flow statement disagree about 2025 by EGP 16,938 million, and that difference cannot be split from what has been disclosed, the forecast is published two ways. Neither is averaged into the other. Both rest on the same income statement above; they differ only in what they hold fixed about cash.

- The first holds the collection cycle. Every working-capital line stays at the ratio to revenue it stood at in 2025, the balance sheet is built from those ratios, and operating cash is what is left. It asks what the growth costs to fund if nothing about collection changes.
- The second holds cash conversion. Operating cash is set at the company's own disclosed rate — 4.3, 17.9 and 3.9 per cent of revenue in the three published years, 8.7 per cent on average — and working capital is what is left. It asks what the collection cycle must do for the cash to keep converting as it has.

The valuation stands on the second, because that is the reading the company's own cash-flow statements support. The first is printed beside it because the two do not agree, and a single set of figures would hide that they don't.

If cash conversion holds — the basis of the valuation

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030
Trade and notes receivable	104,248	107,203	113,354	124,104	141,478
Work in progress	17,696	18,198	19,242	21,067	24,016
Other receivables and prepayments	13,014	13,383	14,151	15,493	17,662
Advances to suppliers	9,121	9,379	9,917	10,858	12,378
Cash and equivalents	12,516	16,975	23,395	32,639	45,947
Property and equipment	4,531	4,544	4,562	4,589	4,627
Other assets, held at the 2025 level	15,128	15,128	15,128	15,128	15,128
Total assets	176,254	184,810	199,749	223,877	261,235
Customer advances	69,848	71,828	75,949	83,152	94,793
Suppliers	3,834	3,943	4,169	4,564	5,203
Other creditors	5,158	5,304	5,609	6,141	7,000
Cheques under collection	2,471	2,541	2,687	2,942	3,354
Borrowings	33,553	33,553	33,553	33,553	33,553
Other liabilities, held at the 2025 level	39,075	39,075	39,075	39,075	39,075
Total liabilities	153,939	156,244	161,041	169,426	182,978
Shareholders' funds	22,315	28,566	38,708	54,451	78,258
Total liabilities and equity	176,254	184,810	199,749	223,877	261,235

Assets equal liabilities plus shareholders' funds in every year, to the same tenth of a million the audited 2025 sheet itself foots to.

Forecast cash flow, EGP million	2026	2027	2028	2029	2030
Net profit	3,549	6,251	10,141	15,743	23,807
Depreciation and amortisation	393	565	814	1,172	1,687
Change in working capital, cash effect	-444	-1,780	-3,703	-6,473	-10,461
Cash from operations	3,498	5,037	7,252	10,442	15,034
as a share of revenue	8.7%	8.7%	8.7%	8.7%	8.7%
Capital expenditure	-401	-578	-832	-1,198	-1,725
New borrowing drawn	0	0	0	0	0
Closing cash	12,516	16,975	23,395	32,639	45,947

The cycle this implies	2026	2027	2028	2029	2030
Collection period, days	948	677	497	378	299
Work in progress, days of cost	261	186	137	104	82
Suppliers, days of cost	57	40	30	23	18
Customer advances, share of the order book	19.2%	15.0%	12.3%	10.8%	10.1%
Net working capital	62,767	64,547	68,250	74,723	85,183
as a multiple of revenue	1.56	1.12	0.82	0.62	0.49

The collection period falls from 948 days to 299 over five years. That is what this reading requires, and it is a large improvement to take on trust — which is exactly why the other reading is printed too.

Free cash flow to the firm, EGP million	2026	2027	2028	2029	2030
Cash from operations	3,498	5,037	7,252	10,442	15,034
plus finance cost, after tax	2,594	2,594	2,594	2,594	2,594
less capital expenditure	-401	-578	-832	-1,198	-1,725
Free cash flow to the firm	5,691	7,053	9,014	11,838	15,903
Present value at 26.25 per cent	4,508	4,425	4,480	4,660	4,958

These are the figures discounted in section 1.1, shown again here beside the statements they come out of.

If the collection cycle holds

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030
Trade and notes receivable	114,897	165,429	238,184	342,938	493,762
Work in progress	19,504	28,081	40,432	58,213	83,816
Other receivables and prepayments	14,343	20,652	29,734	42,811	61,640
Advances to suppliers	10,052	14,473	20,839	30,004	43,199
Cash and equivalents	6,104	2,355	2,355	2,355	2,355
Property and equipment	4,531	4,544	4,562	4,589	4,627
Other assets, held at the 2025 level	15,128	15,128	15,128	15,128	15,128
Total assets	184,560	250,662	351,234	496,038	704,527
Customer advances	76,983	110,840	159,588	229,774	330,829
Suppliers	4,226	6,084	8,760	12,613	18,160
Other creditors	5,685	8,185	11,785	16,969	24,431
Cheques under collection	2,724	3,921	5,646	8,129	11,705
Borrowings	33,553	53,990	87,673	135,028	202,069
Other liabilities, held at the 2025 level	39,075	39,075	39,075	39,075	39,075

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030
Total liabilities	162,245	222,096	312,527	441,588	626,269
Shareholders' funds	22,315	28,566	38,708	54,451	78,258
Total liabilities and equity	184,560	250,662	351,234	496,038	704,527

Assets equal liabilities plus shareholders' funds in every year, to the same tenth of a million the audited 2025 sheet itself foots to.

Forecast cash flow, EGP million	2026	2027	2028	2029	2030
Net profit	3,549	6,251	10,141	15,743	23,807
Depreciation and amortisation	393	565	814	1,172	1,687
Change in working capital, cash effect	-6,856	-30,425	-43,806	-63,072	-90,811
Cash from operations	-2,914	-23,608	-32,850	-46,157	-65,316
as a share of revenue	-7.3%	-40.8%	-39.5%	-38.5%	-37.9%
Capital expenditure	-401	-578	-832	-1,198	-1,725
New borrowing drawn	0	20,437	33,683	47,355	67,041
Closing cash	6,104	2,355	2,355	2,355	2,355

The cycle this implies	2026	2027	2028	2029	2030
Collection period, days	1045	1045	1045	1045	1045
Work in progress, days of cost	287	287	287	287	287
Suppliers, days of cost	62	62	62	62	62
Customer advances, share of the order book	21.2%	23.1%	25.9%	29.8%	35.1%
Net working capital	69,179	99,604	143,410	206,482	297,292
as a multiple of revenue	1.72	1.72	1.72	1.72	1.72

Every ratio is held where 2025 left it, by construction. The customer-advance share rises only because the order book grows more slowly than revenue on this path.

This reading does not produce a value per share, and the reason is worth stating plainly rather than burying. Free cash flow is negative in every one of the five years and reaches minus EGP 64,447 million in 2030. A terminal value taken on a negative flow returns a large negative number that looks like a valuation and is not one: it asserts the company burns cash for ever at a compounding rate, which is not a forecast anybody made. So none is taken. What this reading measures instead is the funding the growth would need.

If the cycle holds, what the growth costs	EGP mn
Present value of the five forecast years	-67,279
New borrowing required by 2030	168,517
Its annual interest by 2030, at 25.50 per cent	42,972

If the cycle holds, what the growth costs	EGP mn
That interest as a share of 2030 operating profit	126%

The interest on that borrowing is not in the profit forecast above, and by 2030 it would exceed operating profit outright. The collection cycle and this growth path cannot both hold — which is the finding, not a defect in the arithmetic.

Appendix B Peer frame, risk register and research register

B.1 The Egyptian listed developers

Code	Company	Beta	R-squared	Std error	Volatility	Worst fall
TMGH	Talaat Moustafa Group Holding	1.4718	32.6%	0.185	43.9%	-44.2%
PHDC	Palm Hills Developments	1.0493	29.9%	0.182	43.9%	-48.7%
ORHD	Orascom Development Egypt	0.8837	32.1%	0.173	46.4%	-42.9%
HELI	Heliopolis Housing and Develop	0.7653	28.8%	0.181	44.4%	-39.6%
EMFD	Emaar Misr for Development	0.7388	24.4%	0.169	41.1%	-47.1%
PRDC	Pioneers Properties for Urban	0.7067	25.8%	0.186	42.2%	-52.0%
OCDI	Sixth of October Development &	0.4938	10.3%	0.224	47.1%	-46.6%

Every measure computed on the same five-year window, through the same cleaning, against the same index. Volatility is annualised from weekly returns; worst fall is the deepest peak-to-trough decline over five years.

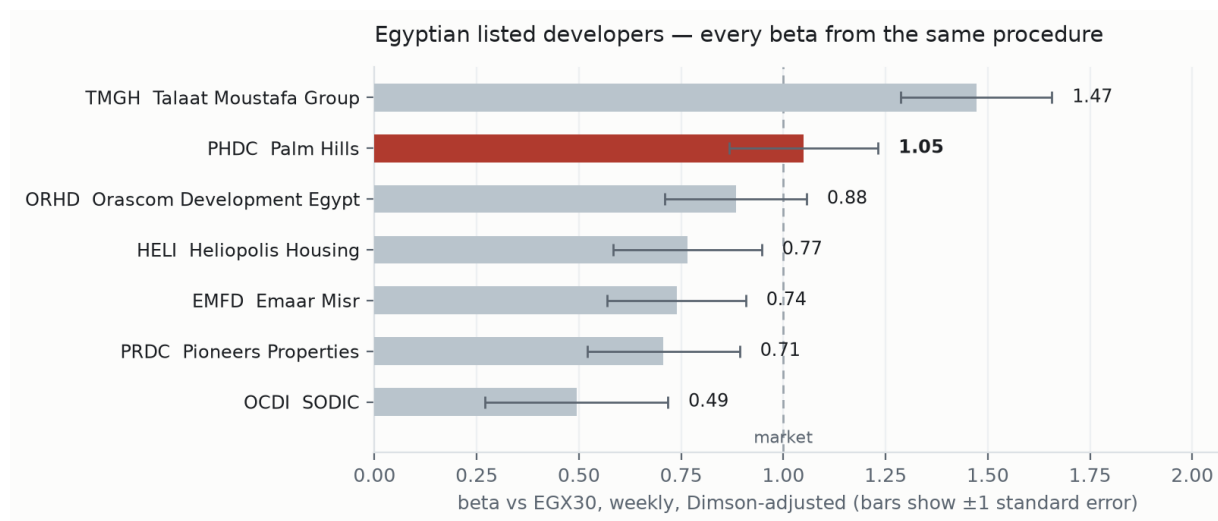


Figure 4 — the same betas with their standard errors. Palm Hills sits mid-sector; more market-sensitive than most of its peers, materially less so than the largest.

Earnings and book multiples for the peer group are not published in this study. No peer discloses financial statements this study can obtain on a consistent basis, and a multiple built from inconsistent inputs would carry more authority than it deserves. What is measured here is measured the same way for every name.

B.2 Risk register

Risk	How it would show up	Where it is priced
Cash conversion stays at the 2023 and 2025 rate	operating cash near 3.9% of revenue	bottom row of the table in section 1.9
Egyptian rates stay high or rise	cost of capital above 26.25%	right-hand columns of the same table
Order book converts more slowly than delivery history implies	the order book keeps rising as a multiple of revenue	section 7, fourth bullet
Currency devaluation	nominal figures rise, real value does not	the whole study is in nominal pounds; a devaluation moves the denominator too
Cost of debt above the assumed spread	finance cost above the modelled level	section 1.8; the spread is the one unsourced input

B.3 Research register

This study is built on 70 sourced inputs. Every reported historical comes from the company's own audited statements or its own results releases. The only third-party inputs are the exogenous macroeconomic series and the market price. A full register, with the value, source, date and provenance of each input, is published in the accompanying bibliography.

Appendix C Expert panel

Three readings of the same company by three different methods. The experts are identified by method, not by name.

C.1 Expert 1 — the discounted cash-flow analyst

Worldview: a company is worth the cash it will hand its owners, discounted at what that cash costs. When it works: businesses with stable conversion of profit to cash. When it fails: businesses where that conversion is the unknown — which is exactly this one.

Working	EGP mn
Present value of ten explicit years	23,030
Present value beyond year ten	38,969
Enterprise value	61,999
less net debt	(24,133)
plus associates and investment property	4,644
Equity	42,510
Per share (EGP)	14.86

Named sensitivity: a move in cash conversion from 3.9% to 17.9% takes the answer from EGP 4.29 to EGP 35.14. Falsifier stated in advance: if the 2026 and 2027 cash-flow statements show conversion inside two percentage points of 8.7%, this reading is right and the range should collapse toward its centre; if they straddle the full observed spread again, the method should be abandoned for this company.

C.2 Expert 2 — the asset-based analyst

Worldview: a developer is a pile of land, work in progress and receivables, less what it owes. Earnings are an accident of timing. When it works: asset-heavy businesses in distress or in wind-down. When it fails: going concerns whose value is in execution.

Working	EGP mn
Work in progress	17,571
Receivables, trade and instalment	103,511
Cash	9,420
Investments and investment property	4,644
less advances from customers	(69,354)
less gross borrowings	(33,552.7)
less other liabilities, balancing	(50,457.3)
Shareholders' funds as reported	18,766
Per share (EGP)	6.56

Named sensitivity: the instalment receivable book is carried at face value less unwinding discount. A 10 per cent write-down of that book would remove roughly EGP 10,106 million, about EGP 3.53 a share. Falsifier: evidence of material cancellations or receivable impairment would confirm this reading and invalidate the cash-flow one.

C.3 Expert 3 — the market-implied analyst

Worldview: do not value the company; ask what the price already assumes, then judge whether that assumption is reasonable. When it works: where a single variable dominates. When it fails: where the market is wrong about many things at once.

Working: holding the cost of capital at 26.25% and every other input at the audited 2025 base, the closing price of EGP 15.20 implies cash conversion of 8.9%. The company achieved 4.3% in 2023, 17.9% in 2024 and 3.9% in 2025. Named sensitivity: at a 25.24% cost of capital the implied rate would be lower still. Falsifier: if 2026 conversion prints above 8.9%, the price was too low.

C.4 Cross-examination

- Expert 2 to Expert 1: your terminal value is 63% of your answer, so you are mostly valuing years you cannot see. CONCEDED — it is why no single figure is published.
- Expert 1 to Expert 2: book value ignores that the company sells at roughly 41.2% gross margin, so its inventory is worth more than cost. CONCEDED — book is a floor, not a value.
- Expert 3 to both: you disagree by a factor of four and the market sits between you, so neither of you is adding information. REJECTED — the range is the information; a false point estimate would not be.
- Expert 2 to Expert 3: the price also reflects Egyptian equity risk appetite, not just this company's conversion rate. CONCEDED — the implied figure is a single-variable solve and is labelled as one.

C.5 The three in one room

They agree on the facts and disagree on one number. All three accept the audited 2025 base, the 26.25% cost of capital and the order book. Expert 1 needs a conversion rate to produce an answer; Expert 2 refuses to forecast one and prices the assets instead; Expert 3 asks what rate is already in the price. The room's joint position is that Palm Hills is worth between EGP 4.29 and EGP 35.14, that the price of EGP 15.20 sits in the lower half of that range, and that the width is a property of the disclosure rather than of the analysis.

C.6 Reading the divergence

Assumption	Expert 1	Expert 2	Expert 3	Drives the gap?
Cash conversion	3.9% to 17.9%	not forecast	8.9% implied	YES — this is the whole gap
Cost of capital	26.25%	not used	26.25%	no — shared
Receivable book	collected on schedule	at carrying value	as the market judges	partly
Terminal value	63% of the answer	none	none	yes for Expert 1 alone

One assumption explains almost all of the divergence, which is the clearest evidence that section 1.7 has identified the right crux.

About this series

These studies value a company from its own disclosures, publish the reasoning alongside the answer, and record what the method has historically got right and wrong on that company. They carry no rating and no price target. Where a company does not disclose something the valuation needs, the study says so and prices the consequence rather than filling the gap.

Disclosure and disclaimer

This document is for information and education. It is not investment advice, not a recommendation, and not an offer or solicitation to buy or sell any security. It contains no rating and no price target. Figures are drawn from the company's published financial statements and results releases and from the named third-party sources; they may contain errors and are not warranted. Valuations are estimates that depend on assumptions stated in the text, and small changes in those assumptions produce large changes in the result, as section 1.9 shows directly. Past price behaviour does not predict future returns. Readers must reach their own conclusions and should take professional advice before acting. Edition of 30 August 2026; information set ends at the company's first-quarter 2026 results.